National Trust Bank

Personal Loan — Policy Handbook

This handbook governs the origination, servicing, and closure of personal loans issued by National Trust Bank. It is the authoritative source for the LoanGuard AI Knowledge Assistant. Terms are illustrative and configured for the LoanGuard Enterprise AI demo environment.

1. Eligibility Criteria

• Applicants must be between 21 and 65 years of age at the time of loan maturity.

• Applicants must be salaried employees, self-employed professionals, or registered business owners with a minimum of 1 year in their current occupation.

• Minimum monthly income requirement is ■15,000 for salaried applicants and ■25,000 for self-employed applicants.

• Applicants must hold a valid PAN card and Aadhaar card.

• A minimum CIBIL score of 650 is required for automated approval consideration; applicants below this threshold are routed to manual underwriting or declined per the credit policy.

2. Documents Required

• Identity Proof: PAN Card (mandatory) and Aadhaar Card (mandatory).

• Income Proof: Last 3 months' salary slips for salaried applicants, or last 2 years' ITR and audited financials for self-employed applicants.

• Bank Statements: Last 6 months' primary bank account statements.

• Address Proof: Aadhaar Card, utility bill, or rental agreement not older than 3 months.

• Passport-size photograph.

• Business proof (GST certificate or registration certificate) for self-employed and business-owner applicants.

3. Processing Fees

• A one-time processing fee of 1.5% of the sanctioned loan amount (minimum ■1,000, maximum ■15,000) is charged at disbursal, plus applicable GST.

• The processing fee is non-refundable once the loan is disbursed.

• No processing fee is charged if an application is rejected before disbursal.

• A documentation and stamp duty charge of ■250 (plus applicable state stamp duty) applies to every sanctioned loan.

4. EMI Policy

• EMIs are calculated on a reducing-balance basis over the agreed loan tenure (12 to 120 months, subject to the sanctioned loan amount and applicant profile).

• EMI due date is fixed at loan disbursal and falls on the same date each month; if that date does not exist in a given month, the EMI is debited on the last business day of the month.

• Auto-debit (NACH mandate) from the applicant's primary bank account is mandatory for all sanctioned loans.

• The maximum permissible EMI-to-income ratio (debt-to-income, or DTI) is 40% of monthly income, inclusive of all existing EMI obligations.

5. Foreclosure and Prepayment Policy

• Loans may be foreclosed (fully prepaid) any time after 6 EMIs have been paid.

• A foreclosure charge of 2% of the outstanding principal applies for loans foreclosed within the first 24 months; no foreclosure charge applies after 24 months from disbursal.

• Partial prepayment is permitted up to twice per year, capped at 25% of the outstanding principal per instance, with no partial-prepayment charge.

• Foreclosure requests must be submitted at least 7 working days before the intended settlement date.

6. Late Payment Policy

• A late payment fee of 2% of the overdue EMI amount (minimum ■200) is charged if an EMI is not honored on the due date.

• Overdue EMIs accrue additional interest at 2% per month on the overdue amount until cleared.

• Three or more late payments within any rolling 12-month period may result in the loan being flagged for credit review and can affect the applicant's future eligibility and CIBIL score.

• Applicants facing genuine financial hardship may request a restructuring review by contacting customer support before an EMI is missed; approval is at the bank's discretion.

7. Interest Rate Policy

• Interest rates are personalized based on CIBIL score, income stability, debt-to-income ratio, and the applicant's assessed default-risk category, ranging from a minimum of 9.0% to a maximum of 18.0% per annum.

• The applicable base rate and risk-based adjustments are reviewed quarterly by the credit policy committee and may change for new applications; the interest rate on an already-disbursed loan remains fixed for its tenure.

8. Loan Amount Limits

• The maximum sanctioned loan amount is capped as a multiple of the applicant's verified monthly income, determined by the applicant's risk tier under the bank's credit policy, and is subject to a hard ceiling of ■40,00,000 per applicant regardless of income.

• Minimum loan amount is ■50,000.